WRIT IN RED INK

The latest audit report of Telangana's finances has raised serious concerns about the flouting of budgetary and financial norms. It also reveals inadequacies in control over and execution of the budget. Claiming that the state government was yet to comply with the Government of India's accounting standards, the report of the Comptroller and Auditor General (CAG) states that bringing in various important items of expenditure and revenue receipts indiscriminately under the omnibus 'Minor head 800: other receipts and other expenditure' affected transparency in financial reporting and made it difficult to properly analyse allocation priorities and quality of expenditure.

There has also been a consistent trend over the years of incurring expenditure without budgetary provisions. Such excess expenditure since 2014-15, when the TRS first came to power, needs to be regularised. Nothing exemplifies this more than the accounts of the Hyderabad Metropolitan Water Supply and Sewerage Board, which serves about a third of the state's population. The board's accounts have neither been audited nor analysed as it is in arrears since 2010-11.

As irrigation projects are approved on the basis of data supporting an implicit assumption that the benefits would outweigh the costs, the state is deprived of the intended benefits of economic growth when the projects are left incomplete. Moreover, as the state does not disclose the financial results of any irrigation project, there was no assurance on returns from the public investment in irrigation and flood control.

The TRS government has a consistent pattern of incurring expenditure without budgetary provisions

In its report for 2020-21, the Fifteenth Finance Commission (FFC) had noted the tendency of governments to borrow outside the Consolidated Fund of India even though all revenues received and expenses incurred by a government, barring exceptional items, are supposed to be part of it. This tendency leads to the accumulation of extra-budgetary liabilities. The FFC suggested that governments should comply with the recommended path of debt consolidation, while abiding by the definition of debt and fiscal deficit in the Fiscal Responsibility and Budget Management Act, which recognises issues related to off-budget borrowings (OBBs). According to the FFC, there is first of all a need for full disclosure of OBBs. During the presentation of the past few budgets, the Telangana government informed the assembly that it would use OBBs to fund flagship socio-economic schemes such as Mission Bhagiratha (piped water to every home), the Kaleshwaram Lift Irrigation Scheme (KLIS) and the two-bedroom housing scheme.

offence as the best defence. The idea is to showcase 'Bangaru Telangana' (Golden Telangana) in contrast to what KCR describes as Prime Minister Narendra Modi's 'Golmaal model'.

The BJP, meanwhile, is pulling out all the stops to project itself as the main challenger in Telangana. After finishing second in the Greater Hyderabad Municipal Corporation election in 2020, bagging 48 of the 150 wards, the saffron party is clearly a force to reckon with in the state capital. The Congress has not vanished, of course, even if its influence is more in the southern districts. With a support base of around 25 per cent of the electorate, it hopes to gain from the growing anti-incumbency. The TRS, which has greater influence in northern Telangana with a vote share of around 35 per cent, seems unconcerned about any possible challenge from the Congress though. In fact, only last week the ruling party ensured that Rahul Gandhi, whom KCR dismisses as a "buffoon", was denied permission to address students at Osmania University in Hyderabad.

EXPENDITURE ON WELFARE SCHEMES HAS GONE UP MASSIVELY BETWEEN 2014 AND 2022, BUT A POOR DELIVERY MECHANISM HAS LED TO A HUGE NUMBER OF COMPLAINTS

WORD VERSUS DEED

KCR never stopped reminding his audience that Telangana has become a role model for other states in various sectors. Little may have been said at the plenary on actual performance, but the CM's son, as industries minister, has notched up an impressive track record in attracting investments (Rs 1.07 lakh crore in the past